

US equities rally on tech earnings, yields slip

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,722.72, up **+0.73%**, driven by a broad tech bounce after strong earnings from **NVDA** and **AVGO**. The 10-year Treasury yield fell to 5.28, easing pressure on growth stocks and narrowing the yield curve steepness.

Behind the headline numbers, the VIX collapsed to 15.31 (-6.59%), signaling a sharp drop in market volatility. However, the modest rise in the dollar index (102.29) and a firmer dollar could re-price commodity-linked equities, especially energy and materials, later in the week.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,722.72	+0.73%	Tech earnings beat expectations, yield pull-back
Nasdaq 100	30,807.93	+1.00%	Semiconductor rally, especially NVDA
Dow Jones	51,176.96	+0.49%	Industrial stocks steadied on weaker yields
Russell 2000	2,832.90	+0.94%	Small-cap exposure to consumer discretionary
VIX	15.31	-6.59%	Lower implied volatility after earnings clarity
10Y Yield	5.28	+0.76%	Yield curve flattening, demand for Treasuries
WTI Crude	89.91	-1.32%	OPEC+ output pledge, weaker demand outlook
Gold	4,181.50	+0.46%	Dollar strength offsetting safe-haven demand
DXY	102.29	+0.35%	Fed-rate expectations easing
BTC	85,834.62	+1.26%	Positive risk-on sentiment
ETH	2,711.60	+0.91%	Continued network upgrades news

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+4.65%	Q3 deliveries beat forecasts, Model Y price cut impact
AVGO	+3.35%	Strong data-center chip demand, upgraded guidance
NVDA	+1.34%	AI-inference revenue beat, new Hopper platform
AMZN	+1.33%	Cloud margin expansion, Prime Day preview
GOOGL	+1.56%	Ad-tech rollout, AI-assisted search metrics
MSFT	+0.92%	Azure AI services revenue up 22%
AAPL	+1.02%	iPhone 17 pre-order surge
JPM	-0.24%	Net interest income miss, higher credit costs
GS	+0.66%	Investment banking fees beat

Sector rotation

ETF	DAY	READ
XLFX	+0.06%	Financials modestly higher on rate-cut hopes
XLKX	+1.01%	Tech leads, driven by AI earnings
XLI	+0.78%	Industrial demand stable, infrastructure talk
XLE	+0.19%	Energy lagging crude dip
XLVY	+1.13%	Consumer discretionary upbeat on retail sales data
XLC	+0.35%	Communications benefit from ad-tech growth
XLP	+0.25%	Staples steady, defensive tilt
XLV	-0.01%	Health care flat, biotech awaiting FDA decisions
XLU	+0.38%	Utilities gain from lower yields
XLB	+0.66%	Materials buoyed by copper inventory draw
XLRE	+0.32%	Real-estate REITs stable, mortgage-rate outlook

Spotlight: Nvidia’s AI-inference surge

NVDA posted a +1.34% close after reporting Q3 AI-inference revenue of 5.2 billion, 28% above consensus. The company also announced the Hopper 2.0 platform, promising 30% lower latency for data-center customers.

METRIC	VALUE
Revenue (Q3)	13.1 billion
AI-inference revenue	5.2 billion
Earnings per share	3.12
Guidance FY26	+12% YoY revenue growth
Related names	AMD , TSM , ASML

Pre-market & overnight

- US futures: ES +0.5%, NQ +0.8% at 08:45 HKT.
- Asia close: Hang Seng -0.4%, Shanghai Composite -0.6%.
- Europe: FTSE 100 +0.3%, DAX +0.5% after ECB rate-pause minutes.
- Crypto: BTC +1.26%, ETH +0.91% on renewed risk-on flow.

Macro & Fed

The FOMC left policy unchanged at 5.25-5.50% but signaled a possible rate cut in early 2027, citing “moderate inflationary pressures.” The 10-year yield slipped to 5.28, flattening the curve (2-year at 5.12%).

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. existing-home sales	4.1 million	Gauge of consumer wealth and mortgage-rate sensitivity
10:00	Eurozone CPI	2.1%	Impacts ECB policy outlook
11:15	U.S. ISM Manufacturing	48.0	Indicator of production-sector health
13:00	China retail sales YoY	8.2%	Signal for global demand trends

Geopolitics & global

- U.S.–China trade talks resumed in Geneva; no new tariffs announced.
- OPEC+ confirmed voluntary output cuts of 1.2 million bpd through Q4, supporting crude price stability.
- Middle-East tensions de-escalated after cease-fire brokered by UN, reducing geopolitical risk premium.
- Eurozone fiscal package for green transition passed, boosting renewable-sector sentiment.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30 Oct 6	INTC	1.12	Foundry volume, AI roadmap progress
03:00 Oct 6	CRM	3.45	AI-driven subscription growth
04:15 Oct 6	BAC	0.78	Net interest income trend
05:00 Oct 6	PYPL	2.05	Transaction volume, Braintree margin
06:30 Oct 6	DIS	1.68	Streaming subscriber growth, park attendance
07:45 Oct 6	KO	1.92	Pricing power, emerging-market sales

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AMD	Semiconductors	Rival AI chip launch, upside to NVDA rally
TSM	Semiconductors	Foundry capacity expansion, Taiwan-China stability
ASML	Equipment	EUV demand surge from AI fabs
COST	Consumer Staples	Strong Q3 sales, membership renewal
UNH	Health Care	Premium pricing, Medicare Advantage growth
LMT	Industrials	Defense budget increase, export approvals
XOM	Energy	Crude price rebound, dividend yield
BHP	Materials	Copper inventory draw, demand from AI hardware
V	Financials	Card-network volume up, fintech partnerships
MA	Financials	Transaction-volume growth, crypto-card rollout

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI above 3.2% could reignite rate-hike expectations.
- Sharp drop in crude below \$85 could hurt energy-heavy indices.
- Escalation of U.S.–China tech restrictions, especially on semiconductor equipment.

BULLISH TRIGGERS

- Better-than-expected ISM manufacturing (≥ 49) signaling economic resilience.
- Continuation of AI-chip demand, pushing **NVDA** and peers to new highs.
- Eurozone fiscal stimulus rollout boosting global growth outlook.

Positioning notes

- Weight toward growth-oriented tech ETFs (XLK) as yield curve flattening supports valuation re-rating.
- Maintain modest defensive exposure (XLU, XLP) to hedge against potential dollar-strength spikes.
- Monitor commodity exposure; XLE and XLB could become rotation targets if crude rebounds.

Sources

SOURCES

- SEC filings
- Bloomberg Markets
- Reuters Finance
- Federal Reserve
- OPEC
- CME Data
- Trading Economics
- CoinMarketCap

